Significance of General Crossing

A crossed cheque should not be paid across the counter. Even if the payee of a crossed cheque is well-know, the paying banker is directed to make payment only through another banker. If the payee does not have a bank account, he can collect it only through someone who is having a bank account. As a result, even if a crossed cheque has been stolen and collected for party not entitled to it, the person for whom it has been collected can be easily traced. Thus crossing ensures safety and prevents payment intro wrong hands.

2. Special Crossing

According to section 124 of the Negotiable Instruments Act, 1881,

"Where a cheque bears across its face an addition of the name of a banker with or without the words "not negotiable", that addition shall be deemed a crossing and the cheque shall be deemed to be crossed specially and to be crossed to that banker".

Here that parallel transverse lines are not essential. But the name of banker to whom the payment should be made is to be necessarily written on the face of the cheque. Thus it must be noted that while drawing of two parallel transverse lines is a 'must' for a general crossing, the addition of the name of a banker constitutes the essential part of special crossing.

Significance of Special Crossing

Here the paying banker should make payment only to the particular banker named as a part of special crossing or to his agent for collection. Thus special crossing is safer than general crossing.

22.05 Endorsements

Section 15 of the Negotiable instruments Act 1881 defines endorsement as follows:

"When the maker or holder of a negotiable instrument signs the name, otherwise that as such maker for the purpose of negotiation, on the back or face thereof, or on a slip of paper annexed thereto or so signs for the same purpose a stamped paper intended to be completed as a negotiable instrument, he is said to endorse the same and is called the endorsee".

In other words, when the person signs on the back of (or face of) the instrument with a view to transferring his interest therein, he is said to be endorsing it. Though endorsement can be made on the face of the instrument also, it is usually make on its back. If the space on the back is insufficient, a piece of paper can be attached to the instrument for this purpose. This piece of paper is called Allonge.

Requisites of a Valid Endorsement

If an endorsement is to be valid, it must possess the following requisites:

1. Endorsement is to be made on the face of the instrument or on its back. It is usually made on the back of a negotiable instrument.
2. When there is no space for making further endorsements a piece of paper can be attached to the negotiable instrument for this purpose. This piece of paper is called 'Allonge'.
3. If the endorsee's name is wrongly spelt, the endorsee should sign the same as spelt in the instrument and write the correct spelling within brackets after his endorsement.
4. Endorsement for only a part of the amount of the instrument is invalid. It can be made only for the entire amount.

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